

Canada Bread Company, Limited

Interim Report to Shareholders
For the First Quarter Ended
March 31, 2011

Canada Bread Company, Limited
Management's Discussion and Analysis

For the first quarter ended March 31, 2011

As at April 27, 2011

Transition to International Financial Reporting Standards ("IFRS")

Canada Bread Company, Limited (the "Company") is reporting its results for the first time in accordance with International Financial Reporting Standards ("IFRS") in the first quarter of 2011. A reconciliation of reported earnings to earnings that would have been reported under Canadian generally accepted accounting principles ("GAAP") is included on page 7 of this Management's Discussion and Analysis.

Financial Overview

Sales for the first quarter decreased by 2.7% to $371.8 million compared to $381.9 million in the prior year, largely due to the sale of the Company's fresh sandwich product line in February of 2011. Excluding this sale and the currency translation on U.K. and U.S. sales from a stronger Canadian dollar, sales were consistent with the prior year.

Adjusted Operating Earnings for the first quarter decreased 19.0% to $16.7 million from $20.6 million in the prior year. Earnings from the fresh bakery operations declined due to higher input costs as price increases only came into effect at the end of the quarter. Lower volumes in the North American frozen bakery business also impacted results. In the U.K. bakery, the margin improvement from the successful marketing campaign and product innovation in the bagel category was largely offset by the advertising and promotion expenses associated with the re-launch. Adjusted EPS of $0.56, including $2.4 million ($0.10 per share) of tax benefits recorded in the quarter associated with a prior acquisition, was unchanged compared to the prior year. Net earnings in the quarter decreased to a loss of $1.0 million ($0.04 per share) from net earnings of $13.0 million ($0.51 per share) in the first quarter of 2010. Net earnings in the quarter include $20.1 million of pre-tax costs related to restructuring activities.

On February 18, 2011 the Company completed the sale of its fresh sandwich product line for $8.0 million, subject to post closing adjustments.

Note: Adjusted Operating Earnings are defined as earnings from operations before restructuring and other related costs and other income (expense). Adjusted Earnings per Share ("Adjusted EPS") are defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax. Please refer to the section entitled "Non-IFRS Financial Measures" starting on page 7 of this Management's Discussion and Analysis for description and reconciliation of all non-IFRS measures.

Operating Review

The following table summarizes sales by business segment:

(Unaudited) ($ thousands)	First Quarter 2011	2010
Fresh Bakery	**$ 255,085**	$ 257,189
Frozen Bakery	**116,675**	124,743
Total Sales	**$ 371,760**	$ 381,932

The following table summarizes Adjusted Operating Earnings by business segment:

(Unaudited) ($ thousands)	First Quarter 2011	2010
Fresh Bakery	**$ 17,985**	$ 20,929
Frozen Bakery	**(1,261)**	(281)
Adjusted Operating Earnings	**$ 16,724**	$ 20,648

Fresh Bakery

Includes fresh bakery products, including breads, rolls, bagels, sweet goods, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.

First quarter sales of $255.1 million were slightly lower than sales of $257.2 million in the same period last year. Excluding the impact of the sale of the Company's fresh sandwich product line, sales increased 1.7% compared to the prior year. The increase in sales is due to the benefit of price increases taken in the later part of 2010. Fresh bakery volumes improved by 0.8% for the quarter.

Adjusted Operating Earnings in the quarter decreased by 14.1% to $18.0 million compared to $20.9 million last year. During the quarter, the fresh bakery operation was significantly exposed to higher wheat prices, with a lag in pricing to offset these inflationary pressures. Price increases were implemented at the end of the quarter and have begun to positively affect margins going forward. These were in part offset by the benefit derived from the sale of the Company's fresh sandwich product line during the quarter.

A significant element of the Company's value creation plan is the construction of the new fresh bakery in Hamilton, Ontario to benefit from scale efficiencies, reduce overhead costs and support future growth. This new bakery is on schedule to begin initial production in July 2011.

During the quarter, the Company announced plans to close its fresh bakery facility in Delta, British Columbia, in November 2011. Production will be consolidated at the Company's other bakeries in Langley, B.C. and Edmonton, Alberta. Concurrently, an investment of approximately $11.0 million will be made to expand the Edmonton bakery to support increased tortilla production, where the Company has a leading market position and brand.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co™.

Frozen Bakery sales for the quarter decreased by 6.5% to $116.7 million from $124.7 million last year. Excluding the currency translation differences on sales in the U.S. and U.K., sales declined by 3.6%, predominantly as a result of lower volumes, which was partially offset by the positive impact of price increases implemented across its operations. The North American frozen bakery business continued to experience weaker volumes due to changes implemented by certain retail customers earlier in 2010. Progress has been made in securing new business, which is expected to strengthen volumes in 2011. In the U.K., bagel volume increased significantly with the re-launch of the New York Bakery brand bagels, although overall volumes for the U.K. bakery were lower than last year.

Adjusted Operating Earnings in the quarter were a loss of $1.3 million compared to a loss of $0.3 million last year, driven by lower volumes and the rapid rise in wheat prices. In the first quarter of 2011, the Company re-launched its New York Bakery brand to support market growth in the bagel category, which led to significant increases in volumes and improved margins in the U.K. bakery business. These benefits were largely offset by significant advertising and promotion expenses associated with the re-launch.

In March 2011, the Company closed a sub-scale bakery in Laval, Quebec and transferred production to other bakeries where there was available capacity. Also in the first quarter of 2011, the Company entered into an agreement to sell a bakery facility in Cumbria, U.K.

Gross Margin

Gross margin decreased to $72.3 million, or 19.5% of sales, in the quarter, compared to $75.1 million, or 19.7% of sales last year. In the bakery operations, margins compressed as the rapid rise in commodity prices was not fully offset through price increases that were implemented towards the end of the quarter. Lower volumes in the North American frozen bakery business also reduced margins.

Selling, General and Administrative Expenses

Selling, general and administrative expenses in the quarter of $55.6 million increased slightly from $54.5 million last year.

The increase in expenses was driven by increased marketing and promotional activities to support the re-launch of its New York Bakery brand and market growth in the bagel category in the U.K. and higher pension expenses in the period. These increases were partly offset by ongoing cost containment initiatives throughout the Company.

Interest Expense

Interest expense for the first quarter decreased to $0.3 million compared to $1.0 million last year, primarily due to amortization of terminated interest rate swaps in the prior period.

Income Taxes

The Company's income tax expense is comprised of tax on earnings from operations before restructuring charges and other related costs at a rate of 13.9% (2010: 27.9%) and taxes recoverable on restructuring and other related costs at a rate of 24.5% (2010: 25.5%). The lower tax rate on operating earnings is due to income tax of $2.4 million associated with tax benefits arising from a prior acquisition in its fresh bakery business.

Restructuring and Other Related Costs

During the first quarter of 2011, the Company recorded restructuring and other related costs of $20.1 million ($15.1 million after tax). Of this amount, $11.2 million related to asset write-downs and $2.9 million related to severances, in connection with the sale of, or planned or completed plant closures in Laval, Quebec, Delta, British Columbia and, Cumbria, U.K., as well as the sale of the sandwich product line. The Company also recorded $5.8 million in severance costs for initiatives across the Company related to changes in management structure and related head count reductions. The balance of charges relate to ongoing costs incurred in connection with previously announced restructuring initiatives.

During the first quarter of 2010, the Company recorded restructuring and other related costs of $1.7 million ($1.3 million after tax). These costs related primarily to pension costs and accelerated depreciation associated with the announced consolidation and closure of three Greater Toronto Area bakeries.

	Severance	Site closing	Asset impairment and accelerated depreciation	Pension	Total
Balance at January 1, 2011	$ 11,228	$ 1,456	$ —	$ 384	**$ 13,068**
Charges	8,701	49	11,138	162	**20,050**
Cash payments	(1,652)	(12)	—	—	**(1,664)**
Reversals	—	—	—	—	**—**
Non-cash items	—	—	(11,138)	—	**(11,138)**
Balance at March 31, 2011	**$ 18,277**	**$ 1,493**	**$ —**	**$ 546**	**$ 20,316**

Acquisitions and Divestitures

On February 18, 2011, the Company completed the sale of substantially all the remaining assets that comprise its sandwich product line to Premium Brands Inc., a manufacturer and distributor of food products with headquarters in British Columbia, for $8.0 million. The transaction resulted in total restructuring costs of $2.9 million, of which $0.6 million were cash costs, and a gain on sale of $0.9 million. As part of the conversion to IFRS, on January 1, 2010 the Company recognized a goodwill impairment adjustment of $30.2 million.

Also in the first quarter of 2011, the Company entered into an agreement to sell a bakery facility in Cumbria, U.K.

Capital Resources

Historically, the Company has generated a significant amount of operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide longer-term funding and surplus liquidity.

The Company is exposed to fluctuations in the prices of raw materials, seasonal and other market-related price changes, particularly wheat costs. Due to the high volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements will be funded from operating cash flow and from existing credit facilities. Management is of the opinion that its operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and its planned capital investment program for at least the next twelve months.

The Company and its subsidiaries had aggregate undrawn credit facilities, excluding accounts receivable securitization programs, of $275.3 million (2010: $270.5 million), and available cash of $51.8 million (2010: $68.5 million). There were $9.8 million in letters of credit outstanding as at March 31, 2011 (2010: $8.8 million).

The Company's principal facility is a $250.0 million revolving term facility with Maple Leaf Foods Inc., which matures on December 27, 2011. The Company will begin negotiations to renew the facility during 2011. This unsecured facility is subject to certain financial covenants. As at March 31, 2011, the Company was in compliance with all of its financial covenants.

To access competitively priced financing, and to further diversify its funding sources, the Company operates an accounts receivable financing facility.

During 2010, the Company entered into a three-year, committed accounts receivable securitization facility. This program replaced the existing accounts receivable financing facility. Under the new facility, the Company sells certain accounts receivable, with limited recourse, to an entity owned by an international financial institution with a long-term debt rating of AAA. The receivables are sold at a discount to face value based on prevailing money market rates. At quarter end, the Company had $96.3 million (2010: $63.0 million under the former facility) of trade accounts receivable serviced under this facility. In return for the sale of its trade receivables, the Company received cash of $43.5 million and a note receivable in the amount of $52.8 million.

The program is subject to certain restrictions and requires the maintenance of certain debt ratios. The Company is in compliance with all of the requirements of the program during the first quarter of 2011. This facility is accounted for as an off-balance sheet transaction under Canadian GAAP and continues to be accounted for in the same manner under IFRS effective January 1, 2011.

Cash Flow and Financing

Cash balances, net of debt, were $47.9 million at the end of the first quarter, compared to $72.7 million as at December 31, 2010 and $60.0 million at end of the first quarter of 2010. The decrease in the cash for the quarter is due to higher investment in property and equipment.

Cash Flow From Operating Activities

Cash flow from operating activities for the quarter was $0.9 million for the first quarter compared to $17.4 million in the first quarter of 2010. The decrease is largely attributable to a decrease in earnings and a greater investment in working capital compared to the same period last year as a result of higher wheat costs.

Cash Flow From Financing Activities

Cash flow from financing activities was an outflow of $1.5 million for the first quarter compared to an outflow of $1.8 million in the prior year period, due primarily to payment of a quarterly dividend in both periods.

Cash Flow From Investing Activities

Cash flow from investing activities was an outflow of $24.1 million for the first quarter compared to an outflow of $6.8 million in the prior year period, as a result of increased capital expenditures, partially offset by proceeds from the sale of property and equipment.

Capital expenditures for the first quarter were $29.6 million compared to $7.6 million in the prior year period. Capital expenditures in the Fresh Bakery segment increased by $22.1 million to $26.2 million primarily due to an investment in the new bakery facility in Hamilton, Ontario. Expenditures in the Frozen Bakery segment were $3.4 million, slightly lower than in the prior year period.

Credit Risk

Credit risk refers to the risk of losses due to failure of the Company's customers and counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other receivables in order to mitigate any possible credit losses. As at March 31, 2011 approximately $4.1 million (2010: $2.6 million) of the Company's accounts receivable were greater than 60 days past due. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individually significant exposures and a provision based on historical trends of collections. As at March 31, 2011, the Company has recorded an allowance for doubtful accounts of $2.4 million (2010: $1.8 million). Average accounts receivable days sales outstanding for the quarter is consistent with historic trends. There are no significant impaired accounts receivable that have not been provided for in the allowance for doubtful accounts. The Company believes that the allowance for uncollectible accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

Summary of Quarterly Results

The following is a summary of unaudited quarterly financial information (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Full Year
Sales [(i)]	**2011**	**$ 371,760**				
	2010	381,932	$ 402,062	$ 411,364	$ 393,079	$ 1,588,437
	2009	413,125	435,918	424,555	432,190	1,705,788
Net earnings (loss) [(i)]	**2011**	**$ (966)**				
	2010	12,969	$ 20,696	$ 13,980	$ 13,582	$ 60,975
	2009	14,882	22,537	25,050	15,009	77,478
Earnings (loss) per share						
Basic and diluted [(i)]	**2011**	**$ (0.04)**				
	2010	0.51	$ 0.81	$ 0.55	$ 0.54	$ 2.40
	2009	0.59	0.89	0.99	0.59	3.05
Adjusted EPS [(i)(ii)(iii)]	**2011**	**$ 0.56**				
	2010	0.56	$ 0.84	$ 0.85	$ 0.61	$ 2.85
	2009	0.60	0.89	1.00	0.70	3.20

(i) *The first quarter of 2011 and 2010 figures are in accordance with IFRS and the net earnings, earnings per share and adjusted earnings per share are based on amounts attributable to common shareholders. The remaining figures are in accordance with Canadian GAAP.*

(ii) *May not add due to rounding.*

(iii) *Refer to Non-IFRS Financial Measures on page 7.*

Quarterly sales and net earnings in 2011 were impacted by the following significant items:

- the appreciation of the Canadian dollar relative to the U.S. dollar and the British pound, which reduced the sales value of frozen bakery products sales in the U.S. and U.K.
- the exit of the line of fresh sandwich products in February of 2011
- lower volumes mostly of frozen bakery products in the U.S. and U.K.
- the rapid rise in commodity prices which affected overall margins as price increases did not fully keep pace with these pressures during the quarter
- increased advertising and promotion spending as a result of the re-launch of the New York Bakery brand in the U.K.
- the appreciation of the Canadian dollar relative to the U.S. dollar which reduced the cost of U.S. dollar priced ingredients and to a lesser extent, lower ingredient costs
- pre-tax charges of $20.1 million ($15.1 million after tax) due to restructuring and other related costs. The majority of these costs related to the asset write-downs and severances related to planned or completed plant closures in Laval, Quebec, Delta, British Columbia, Cumbria, U.K. and the sale of the fresh sandwich product line
- an income tax reduction of $2.4 million associated with tax benefits arising from a prior acquisition in its fresh bakery business. This resulted in a lower tax rate on operating earnings.

Quarterly sales and net earnings in 2010 were impacted by the following significant items:

- the appreciation of the Canadian dollar relative to the U.S. dollar and the British pound which reduced the sales value of frozen bakery products sales in the U.S. and U.K.
- lower volumes mostly of frozen bakery products in the U.S. and U.K.
- the appreciation of the Canadian dollar relative to the U.S. dollar which reduced the cost of U.S. dollar priced ingredients and to a lesser extent, lower ingredient costs
- increased spending to maintain market share in a competitive Canadian retail environment

For an explanation and analysis of quarterly results, refer to Management's Discussion and Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

Other Matters

On April 27, 2011 Canada Bread Company, Limited declared a dividend of $0.20 per share payable on July 4, 2011 to shareholders of record at the close of business on June 10, 2011. Unless indicated otherwise by the Company in writing at or before the time the dividend is paid, these dividends will not be considered an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Disclosure Controls and Internal Controls Over Financial Reporting

There have been no changes in the Company's internal control over financial reporting during the period beginning on January 1, 2011 and ended on March 31, 2011 that have materially affected, or are reasonably likely to materially affect, its internal control over financial reporting.

International Financial Reporting Standards

The Company's audited consolidated financial statements for the year ending December 31, 2011 will be the first audited annual consolidated financial statements that comply with IFRS. Accordingly, the Company will make an unreserved statement of compliance with IFRS beginning with its 2011 annual consolidated financial statements. This quarter represents the first time that the Company has reported its earnings under IFRS.

The accounting policies set out in Note 3 of the Unaudited Condensed Consolidated Interim Financial Statements have been applied in preparing the financial results for the quarter ended March 31, 2011. The comparative information presented in these consolidated financial statements for the quarter ended March 31, 2010, and the consolidated balance sheets at December 31, 2010 and January 1, 2010 ("transition date") have all been revised to reflect earnings and financial position presented in accordance with IFRS.

First-time adopters of IFRS must apply the provisions of IFRS 1. IFRS 1 requires adopters to retrospectively apply all effective IFRS standards as of the annual reporting date (December 31, 2011) with certain optional exemptions and certain mandatory exceptions. Outlined below are the IFRS 1 optional exemptions and mandatory exceptions applied in the conversion from previous Canadian GAAP to IFRS. To the extent possible, management has attempted to ensure that elections made provide shareholders with consistently prepared financial statements, however certain elections have been made on a prospective basis that have resulted in some inconsistencies between the Company's financial statements and the corresponding comparative amounts. These elections are more fully outlined below.

IFRS 1 Optional Exemptions

Business Combinations

IFRS 1 provides an exemption that allows an entity to elect not to retrospectively restate business combinations prior to the transition date in accordance with IFRS 3, *Business Combinations*. The retrospective basis would require restatement of all business combinations that occurred prior to the transition date. The Company elected not to retrospectively apply IFRS 3 to business combinations that occurred prior to the transition date and such business combinations have not been restated. Any goodwill arising on such business combinations prior to the transition date has not been adjusted from the carrying value previously determined under Canadian GAAP.

Fair Value as Deemed Cost

IFRS 1 allows an entity to elect to measure property and equipment at fair value in the opening IFRS statement of financial position. Fair value would then become the deemed cost of the item. Alternatively, an entity can retrospectively apply the historical cost model in IAS 16, *Property, Plant and Equipment*, to arrive at the carrying value of property and equipment at the transition date. The Company elected to retrospectively apply the historical cost model for property and equipment on the transition date, resulting in no IFRS impact to shareholders' equity.

Employee Benefits

IFRS 1 provides the option to retrospectively apply the corridor approach under IAS 19, *Employee Benefits*, for the recognition of actuarial gains and losses, or recognize all cumulative gains and losses deferred under previous Canadian GAAP in opening retained earnings at the transition date. The Company elected to recognize all cumulative actuarial gains and losses that existed on the transition date in opening retained earnings for all of its employee benefit plans.

Cumulative Currency Translation Differences

Retrospective application of IFRS would require the Company to determine cumulative currency translation differences in accordance with IAS 21, *The Effects of Changes in Foreign Exchange Rates*, from the date a foreign subsidiary or associate was formed or acquired. IFRS 1 allows an entity to elect not to calculate the translation differences retrospectively and to reset cumulative translation gains and losses to zero at the transition date. The Company elected to reset all cumulative translation gains and losses that existed in the cumulative transition adjustment ("CTA") to zero in opening retained earnings at the transition date. The CTA balance as of January 1, 2010 of $48.8 million was recorded as an adjustment to retained earnings, with an offset to accumulated other comprehensive income resulting in no impact on total shareholders' equity.

Decommissioning Liabilities Included in the Cost of Property, Plant and Equipment

IFRS 1 allows an entity to elect not to retrospectively apply the requirements of IFRIC 1, *Changes in Existing Decommissioning, Restoration and Similar Liabilities* ("IFRIC 1"). The Company elected not to retrospectively recognize changes to these liabilities under IFRIC 1 that may have occurred prior to the transition date.

Borrowing Costs

IAS 23, *Borrowing Costs* ("IAS 23"), requires an entity to capitalize borrowing costs relating to qualifying assets. Under IFRS 1, an entity may elect to apply the transitional provisions of IAS 23, which allow an entity to choose the date to apply the capitalization of borrowing costs relating to all qualifying assets as either the transition date or an earlier date. The Company elected to apply the transitional provisions of IAS 23 and chose the transition date as the date to commence the capitalization of borrowing costs to all qualifying assets.

IFRS 1 Mandatory Exceptions

Hedge Accounting

Hedge accounting may only be applied prospectively from the transition date to transactions that meet the hedge accounting criteria in IAS 39, *Financial Instruments – Recognition and Measurement*, at that date. Hedging relationships cannot be designated retrospectively and the supporting documentation cannot be created retrospectively. The Company designated all hedges appropriately under IFRS as of the transition date.

Estimates

Estimates previously determined under Canadian GAAP cannot be revised due to the application of IFRS except where necessary to reflect differences in accounting policies.

Reconciliations of Canadian GAAP to IFRS

In preparing its opening IFRS consolidated financial statements, the Company has adjusted amounts reported previously in financial statements prepared in accordance with Canadian GAAP. A summary of how the transition from Canadian GAAP to IFRS has affected the Company's financial position and financial performance is set out below. For further detail on the transitional adjustments from Canadian GAAP to IFRS see Note 13 of the Unaudited Condensed Interim Financial Statements for the three months ended March 31, 2011.

Reconciliation of Shareholders' Equity as Reported Under Canadian GAAP to IFRS

(Unaudited) ($ thousands)	January 1, 2010	March 31, 2010	December 31, 2010
Shareholders' equity under Canadian GAAP	$ 747,087	$ 737,281	$ 785,846
Differences increasing (decreasing) reported shareholders' equity:			
Property and equipment	(5,454)	(5,475)	(5,577)
Impairment of goodwill	(119,078)	(110,910)	(111,618)
Employee benefits	(32,403)	(32,058)	(39,836)
Capitalization of borrowing costs	—	3	417
Deferred income taxes	9,522	9,437	9,137
Cumulative translation differences	—	—	—
Shareholders' equity under IFRS	$ 599,674	$ 598,278	$ 638,369

Reconciliation of Net Earnings as Reported Under Canadian GAAP to IFRS

(Unaudited) ($ thousands)	Three months ended March 31, 2010	Year ended December 31, 2010
Net earnings under Canadian GAAP	$ 12,727	$ 60,975
Differences increasing (decreasing) reported amount:		
Depreciation of asset components	(21)	(317)
Capitalization of borrowing costs	3	417
Employee benefits	345	1,382
Income taxes	(85)	(385)
Net earnings under IFRS	$ 12,969	$ 62,072

Reconciliation of Comprehensive Income (Loss) as Reported Under Canadian GAAP to IFRS

(Unaudited) ($ thousands)	Three months ended March 31, 2010	Year ended December 31, 2010
Comprehensive income (loss) under Canadian GAAP	$ (8,281)	$ 44,859
Differences increasing (decreasing) reported amount:		
Differences in net earnings	242	1,097
Changes in actuarial gains and losses	—	(8,815)
Impairment of goodwill	8,168	7,654
Comprehensive income (loss) under IFRS	$ 129	$ 44,795

Non-IFRS Financial Measures

The Company uses the following non-IFRS measures: Adjusted Operating Earnings and Adjusted EPS. Management believes that these non-IFRS measures provide useful information to both management and investors in measuring the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by IFRS and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with IFRS.

Adjusted Operating Earnings

The following table reconciles earnings from operations before restructuring and other related costs and other income (expense) to net earnings as reported under IFRS in the Unaudited Consolidated Interim Statements of Earnings for the three-month periods ended as indicated below. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs and other income (expense) are not representative of operational results.

(Unaudited)	Three months ended March 31, 2011		
($ thousands) [i]	Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			**$ (966)**
Income taxes			**(2,621)**
Earnings from operations before income taxes			**(3,587)**
Interest expense			**339**
	$ 8,468	**$ (11,716)**	**$ (3,248)**
Other income	(78)	—	**(78)**
Restructuring and other related costs	9,595	10,455	**20,050**
Adjusted Operating Earnings [i]	**$ 17,985**	**$ (1,261)**	**$ 16,724**

(Unaudited)	Three months ended March 31, 2010		
($ thousands) [i]	Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			**$ 12,969**
Income taxes			**5,066**
Earnings from operations before income taxes			**18,035**
Interest expense			**981**
	$ 19,988	**$ (972)**	**$ 19,016**
Other income	(72)	—	**(72)**
Restructuring and other related costs	1,013	691	**1,704**
Adjusted Operating Earnings [i]	**$ 20,929**	**$ (281)**	**$ 20,648**

(i) *May not add due to rounding.*

Adjusted Earnings per Share

The following table reconciles Adjusted Earnings per Share to basic earnings per share as reported under IFRS in the Unaudited Consolidated Interim Statements of Earnings for the three-month periods ended as indicated below. Management believes this is the most appropriate basis on which to evaluate financial results as restructuring and other related costs are not representative of operational results.

(Unaudited)	Three months ended March 31,	
($ per share)	2011	2010
Basic earnings (loss) per share	**$ (0.04)**	$ 0.51
Restructuring and other related costs [i]	**0.60**	0.05
Adjusted Earnings per Share [ii]	**$ 0.56**	$ 0.56

(i) *Includes per share impact of restructuring and other related costs, net of tax.*
(ii) *May not add due to rounding.*

Net Debt

The following table reconciles net debt as disclosed in this Management's Discussion and Analysis to IFRS amounts in the Unaudited Consolidated Interim Balance Sheets as at the dates indicated below. The Company calculates net debt as long-term debt and bank indebtedness, less cash and cash equivalents.

(Unaudited) ($ thousands)	As at March 31, 2011	2010
Bank indebtedness	**$ —**	$ 6,167
Current portion of long-term debt	**2,329**	—
Long-term debt	**1,652**	2,311
Subtotal	**$ 3,981**	$ 8,478
Cash and cash equivalents	**(51,847)**	(68,471)
Net debt (cash)	**$ (47,866)**	$ (59,993)

Earnings Before Interest, Tax, Depreciation and Amortization ("EBITDA")

EBITDA is calculated as earnings from operations before restructuring and other related costs and before interest and income taxes plus depreciation and intangible asset amortization. The Company measures its credit quality using a number of metrics, primarily net debt to EBITDA and EBITDA to interest expense.

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking statements in this document include, but are not limited to, statements concerning expectations regarding actions to reduce costs and improve efficiencies, restore volumes and/or increase prices, timing of promotional investment, improving business trends in 2011, the expected use of cash balances, source of funds for ongoing business requirements, capital investments and debt repayment, and expectations regarding sufficiency of the allowance for uncollectible accounts. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate" and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these forward-looking statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, United States and United Kingdom economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking statements, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking statements include, among other things:

- the risks associated with implementing and executing the Company's business transformation strategy;
- the risks associated with changes in the Company's shared systems and processes;
- the Company's exposure to currency exchange risks;
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options;
- the risks associated with a consolidating retail environment;
- the risks posed by food contamination, consumer liability and product recalls;
- the risks related to business acquisitions and capital expansion projects;
- the risks posed by compliance with extensive government regulation;

- the risks posed by litigation;
- the impact of changes in consumer tastes and buying patterns;
- the impact of extensive environmental regulation and potential environmental liabilities;
- the risks associated with complying with differing employment laws and practices globally and the potential for work stoppages due to non-renewal of collective agreements;
- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates;
- the risks associated with the Company's independent distributors; and
- the risks posed by competition.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" in the Company's Management's Discussion and Analysis for the year ended December 31, 2010 and are updated each quarter in the Management's Discussion and Analysis, which are available on SEDAR at www.sedar.com. The reader should review such sections in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

Consolidated Balance Sheets

(In thousands of Canadian dollars) (Unaudited)	As at March 31, 2011	As at March 31, 2010	As at December 31, 2010	As at January 1, 2010
ASSETS				
Current assets				
Cash and cash equivalents	**$ 51,847**	**$ 68,471**	$ 84,401	$ 57,698
Accounts receivable (Note 4, 14)	**54,700**	**119,399**	29,773	133,620
Due from Maple Leaf Foods Inc.	**—**	**6,740**	—	—
Note receivable (Note 4)	**52,820**	**—**	59,159	—
Inventories	**52,107**	**53,383**	55,477	56,659
Prepaid expenses and other assets	**3,934**	**4,109**	4,516	4,438
Income and other taxes recoverable	**6,591**	**—**	—	—
	$ 221,999	**$ 252,102**	$ 233,326	$ 252,415
Property and equipment (Note 14)	**383,814**	**369,402**	387,603	383,024
Investment property (Note 14)	**8,443**	**3,788**	3,743	3,959
Employee benefits (Note 6)	**53**	**345**	—	—
Other long-term assets	**993**	**432**	828	390
Deferred tax asset	**10,264**	**7,113**	9,543	5,887
Goodwill (Note 5)	**261,590**	**264,197**	264,276	267,729
Other intangible assets	**12,799**	**15,196**	13,626	16,678
Total assets	**$ 899,955**	**$ 912,575**	$ 912,945	$ 930,082
LIABILITIES AND SHAREHOLDERS' EQUITY				
Current liabilities				
Bank indebtedness	**$ —**	**$ 6,167**	$ 7,777	$ 4,247
Accounts payable and accruals	**179,044**	**230,224**	171,742	237,849
Provisions (Note 8)	**20,316**	**3,969**	13,068	3,919
Due to Maple Leaf Foods Inc.	**1,021**	**—**	5,336	3,817
Dividends payable	**1,525**	**1,525**	1,525	1,525
Income and other taxes payable	**—**	**7,313**	3,248	13,155
Current portion of long-term debt	**2,329**	**—**	2,332	—
	$ 204,235	**$ 249,198**	$ 205,028	$ 264,512
Long-term debt	**1,652**	**2,311**	1,629	2,547
Deferred tax liability	**20,916**	**27,243**	24,188	28,063
Employee benefits (Note 6)	**37,190**	**28,767**	37,491	28,489
Other long-term liabilities	**6,679**	**6,778**	6,240	6,797
Total liabilities	**$ 270,672**	**$ 314,297**	$ 274,576	$ 330,408
Shareholders' equity				
Share capital	**$ 142,965**	**$ 142,965**	$ 142,965	$ 142,965
Retained earnings	**515,824**	**473,787**	518,315	462,343
Accumulated other comprehensive loss	**(29,506)**	**(18,474)**	(22,911)	(5,634)
Total shareholders' equity	**$ 629,283**	**$ 598,278**	$ 638,369	$ 599,674
Total liabilities and shareholders' equity	**$ 899,955**	**$ 912,575**	$ 912,945	$ 930,082

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements.

Consolidated Statements of Earnings

(In thousands of Canadian dollars, except share amounts) (Unaudited)	Three months ended March 31, 2011	2010
Sales	**$ 371,760**	$ 381,932
Cost of goods sold	**299,417**	306,828
Gross margin	**$ 72,343**	$ 75,104
Selling, general and administrative expenses	**55,619**	54,456
Earnings from operations before the following:	**$ 16,724**	$ 20,648
Restructuring and other related costs (Note 8)	**(20,050)**	(1,704)
Other income (Note 10)	**78**	72
(Loss) earnings from operations before interest and income taxes	**$ (3,248)**	$ 19,016
Interest expense (Note 11)	**339**	981
(Loss) earnings from operations before income taxes	**$ (3,587)**	$ 18,035
Income taxes	**(2,621)**	5,066
Net (loss) earnings	**$ (966)**	$ 12,969
(Loss) earnings per share attributable to common shareholders		
Basic and diluted (loss) earnings per share	**$ (0.04)**	$ 0.51
Weighted average number of shares (millions)	**25.4**	25.4

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements.

Consolidated Statements of Comprehensive Income (Loss)

(In thousands of Canadian dollars) (Unaudited)	Three months ended March 31, 2011	2010
Net (loss) earnings	**$ (966)**	$ 12,969
Other comprehensive loss (Note 9)		
Change in accumulated foreign currency translation adjustment	**(5,490)**	(12,689)
Change in unrealized loss on cash flow hedges	**(1,105)**	(151)
	$ (6,595)	$ (12,840)
Comprehensive (loss) income	**$ (7,561)**	$ 129

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements.

Consolidated Statements of Changes in Shareholders' Equity

(In thousands of Canadian dollars) (Unaudited)	Share Capital	Retained Earnings	Total Accumulated Other Comprehensive Loss	Total Shareholders' Equity
Balance at January 1, 2010	$ 142,965	$ 462,343	$ (5,634)	$ 599,674
Net earnings	—	12,969	—	12,969
Other comprehensive loss	—	—	(12,840)	(12,840)
Dividends declared ($0.06 per share)	—	(1,525)	—	(1,525)
Balance at March 31, 2010	**$ 142,965**	**$ 473,787**	**$ (18,474)**	**$ 598,278**

(In thousands of Canadian dollars) (Unaudited)	Share Capital	Retained Earnings	Total Accumulated Other Comprehensive Loss	Total Shareholders' Equity
Balance at January 1, 2011	$ 142,965	$ 518,315	$ (22,911)	$ 638,369
Net loss	—	(966)	—	(966)
Other comprehensive loss	—	—	(6,595)	(6,595)
Dividends declared ($0.06 per share)	—	(1,525)	—	(1,525)
Balance at March 31, 2011	**$ 142,965**	**$ 515,824**	**$ (29,506)**	**$ 629,283**

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements.

Consolidated Statements of Cash Flows

(In thousands of Canadian dollars) (Unaudited)	Three months ended March 31, 2011	2010
CASH PROVIDED BY (USED IN):		
Operating activities		
Net (loss) earnings	**$ (966)**	$ 12,969
Add (deduct) items not affecting cash:		
Depreciation and amortization	**12,207**	12,712
Deferred income taxes	**(3,578)**	(1,956)
Income tax current	**559**	6,025
Interest expense	**339**	981
Loss (gain) on sale of property and equipment	**5**	(52)
Amortization of terminated interest rate swap	**—**	658
Asset impairments and change in provision for restructuring and other related costs	**18,386**	1,072
Income taxes paid	**(9,818)**	(12,047)
Interest paid	**(277)**	(1,064)
Other	**(461)**	(138)
Change in non-cash operating working capital	**(15,531)**	(1,722)
Cash provided by operating activities	**$ 865**	$ 17,438
Financing activities		
Dividends paid	**$ (1,525)**	$ (1,525)
Net increase (decrease) in long-term debt	**—**	(236)
Cash used in financing activities	**$ (1,525)**	$ (1,761)
Investing activities		
Additions to property and equipment	**$ (29,557)**	$ (7,556)
Capitalization of interest expense to property and equipment	**(114)**	(3)
Proceeds from sale of property and equipment	**5,039**	685
Change in intangible assets	**515**	—
Other	**—**	50
Cash used in investing activities	**$ (24,117)**	$ (6,824)
Increase (decrease) in cash and cash equivalents	**$ (24,777)**	$ 8,853
Net cash and cash equivalents, beginning of period	**76,624**	53,451
Net cash and cash equivalents, end of period	**$ 51,847**	$ 62,304
Net cash and cash equivalents is comprised of:		
Cash and cash equivalents	$ **51,847**	$ 68,471
Bank indebtedness	**—**	(6,167)
Net cash and cash equivalents, end of period	**$ 51,847**	$ 62,304

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements.

1. The Company

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the baking industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. The address of the Company's registered office is 10 Four Seasons Place, Etobicoke, Ontario, M9B 6H7 Canada. The condensed consolidated interim financial statements of the Company as at and for the quarter ended March 31, 2011 include the accounts of the Company and its subsidiaries. Canada Bread is 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at March 31, 2011.

2. Basis of Preparation

(a) Statement of compliance

The unaudited condensed consolidated interim financial statements (or "consolidated financial statements") have been prepared in accordance with International Accounting Standard ("IAS") 34 *Interim Financial Reporting* as issued by the International Accounting Standards Board ("IASB") and using the accounting policies described herein. These are the Company's first International Financial Reporting Standards ("IFRS") consolidated financial statements under IFRS and IFRS 1, *First Time Adoption of IFRS* ("IFRS 1") has been applied. The Company adopted IFRS with a transition date of January 1, 2010 ("transition date"). An explanation of how the transition from Canadian Generally Accepted Accounting Principles ("Canadian GAAP") to IFRS has affected the reported financial position, financial performance and cash flows of the Company including the mandatory exceptions and optional exemptions under IFRS 1 is provided in Note 13. This note includes reconciliations to equity, net earnings and comprehensive income for comparative periods and of equity at the transition date reported under previous Canadian GAAP to those reported for those periods at transition date. These consolidated financial statements should be read in conjunction with the Company's 2010 annual consolidated financial statements.

The consolidated financial statements were authorized for issue by the Board of Directors on April 27, 2011.

(b) Basis of measurement

The consolidated financial statements have been prepared on the historical cost basis except for certain financial instruments, which are stated at fair value.

(c) Functional and presentation currency

The consolidated financial statements are presented in Canadian dollars, which is the Company's functional currency.

(d) Use of estimates and judgments

The preparation of consolidated financial statements in accordance with IFRS requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual amounts may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognized in the consolidated financial statements are included in the following notes:

Goodwill and Intangible Assets Valuation

The values associated with other intangible assets and goodwill involves significant estimates and assumptions, including those with respect to future cash inflows and outflows, discount rates and asset lives. These estimates and assumptions could affect the Company's future results if the current estimates of future performance and fair values change. These determinations will affect the amount of amortization expense on definite life intangible assets recognized in future periods.

The Company assesses impairment by comparing the recoverable amount of an intangible asset or goodwill with its carrying value. The recoverable amount is defined as the higher of value in use, or fair value less cost to sell. The determination of the recoverable amount involves management judgment.

Allowance for Bad Debts

The Company establishes an appropriate provision for uncollectible or doubtful accounts. Estimates of recoverable amounts are based on management's best estimate of a customer's ability to settle its obligations, and actual amounts received may be affected by various factors, including industry conditions and changes in individual customer financial conditions. To the extent that actual losses on uncollectible accounts differ from those estimated in the Company's provision, both accounts receivable and net earnings will be affected.

Provisions for Inventory
Management makes estimates of the future customer demand for our products when establishing appropriate provisions for inventory. In making these estimates, management considers product life of inventory and the profitability of recent sales of inventory. In many cases, product sold by the Company turns quickly and inventory on-hand values are lower, thus reducing the risk of material misstatement. Management ensures that systems are in place to highlight and properly value inventory that may be approaching best before code, or "best before" dates. To the extent that actual losses on inventory differ from those estimated, both inventory and net earnings will be affected.

Trade Merchandise Allowances and Other Trade Discounts
The Company provides for estimated payments to customers based on various trade programs and contracts that often include payments that are contingent upon attainment of specified sales volumes. Significant estimates used to determine these liabilities include the projected level of sales volume for the relevant period and the historical promotional expenditure rate compared to contracted rates. These arrangements are complex and there are a significant number of customers and products affected. Management has systems and processes in place to estimate and value these contingent obligations. To the extent that payments on trade discounts differ from estimates of the related liability, both accrued liabilities and net earnings will be affected.

Employee Benefit Plans
The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected unit credit method prorated on service and management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees, mortality rates and expected heath care costs. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan liabilities. Management employs external experts to advise the Company when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses.

Income Taxes
Provisions for income taxes are based on domestic and international statutory income tax rates and tax planning opportunities available to the Company in the jurisdictions in which it operates. Significant judgment is required in determining income tax provisions and the recoverability of deferred tax assets. The calculation of current and deferred income tax balances requires management to make estimates regarding the carrying values of assets and liabilities that include estimates of future cash flows and earnings related to such assets and liabilities, the interpretation of income tax legislation in the jurisdictions in which the company operates, and the timing of reversal of temporary differences. The Company establishes additional provisions for income taxes when, despite management's opinion that tax positions are fully supportable, there is sufficient complexity or uncertainty in the application of legislation that certain tax positions may be reassessed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances.

Reserves for Restructuring and Other Related Costs
The Company evaluates accruals related to restructuring and other related costs at each reporting date to ensure these accruals are still appropriate. As the Company has been involved in a significant amount of transformation and restructuring of businesses and assets in the past several years, these provisions and accruals can be significant and are prepared using estimates of the costs of future activities. In certain instances, management may determine that these accruals are no longer required because of efficiencies in carrying out restructuring and other related activities. In certain circumstances, management may determine that certain accruals are insufficient as new events occur or as additional information is obtained. These provisions are separately identified and disclosed in the Company's consolidated financial statements.

Depreciation and Amortization
The Company's property and equipment and definite life intangible assets are depreciated and amortized on a straight-line basis, taking into account the expected useful lives of the assets and residual values. Changes to these estimates may affect both the carrying value of these assets and net earnings.

3. Significant Accounting Policies

(a) Principles of consolidation
The consolidated financial statements include the accounts of the Company and its subsidiaries from the date that control commences until the date that control ceases. Control exists when the Company has the power, directly or indirectly, to govern the financial and operating policies of an entity so as to obtain benefits from its activities. Investments in associated companies over which the Company has the ability to exercise significant influence are accounted for by the equity method.

All intercompany accounts and transactions have been eliminated on consolidation.

(b) Translation of foreign currencies
The accounts of the Company are presented in Canadian dollars. Transactions in foreign currencies are translated at the actual rates of exchange. Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated to the Canadian dollar at the exchange rate at that date. Foreign exchange differences arising on translation are recognized in net earnings. Non-monetary assets and liabilities that are measured at historical cost are translated using the exchange rate at the date of the transaction.

The financial statements of foreign subsidiaries whose unit of measure is not the Canadian dollar are translated into Canadian dollars using the exchange rate in effect at the period-end for assets and liabilities and the average exchange rates for the period for revenue, expenses and cash flows. Foreign exchange differences arising on translation are recognized in accumulated other comprehensive income in shareholders' equity.

(c) Financial instruments

The Company's financial assets and financial liabilities are classified as held for trading, loans and receivables or other financial liabilities. The classification depends on the purpose for which the financial instruments were acquired and their characteristics. Held for trading is the required classification for all derivative financial instruments unless they are specifically designated within an effective hedge relationship. Held for trading financial instruments are measured at fair value with changes in fair value recognized in consolidated statements of earnings in the period in which such changes arise. Loans and receivables and other financial liabilities are initially recorded at fair value and subsequently measured at amortized cost.

Financial assets are assessed at each reporting date to determine whether there is any objective evidence of impairment. A financial asset is considered to be impaired if objective evidence indicates that one or more events have had a negative effect on the estimated future cash flows of that asset, with impairment losses recognized in the consolidated statements of earnings.

(d) Hedge accounting

The Company uses derivatives and other non-derivative financial instruments to manage its exposures to fluctuations in interest rates, foreign exchange rates and commodity prices.

At the inception of a hedging relationship, the Company designates and formally documents the relationship between the hedging instrument and the hedged item, its risk management objective and its strategy for undertaking the hedge. The documentation identifies the specific asset, liability or anticipated cash flows being hedged, the risk that is being hedged, the type of hedging instrument used and how effectiveness will be assessed.

The Company also formally assesses, both at inception and at least quarterly thereafter, whether or not the derivatives that are used in hedging transactions are highly effective in offsetting the changes attributable to the hedged risks in the fair values or cash flows of the hedged items. If a hedge relationship becomes ineffective, it no longer qualifies for hedge accounting and any subsequent change in the fair value of the hedging instrument is recognized in earnings.

When hedge accounting is appropriate, the hedging relationship is designated as a cash flow hedge, a fair value hedge or a hedge of foreign currency exposure of a net investment in a self-sustaining foreign operation.

In a cash flow hedge, the change in fair value of the hedging instrument is recorded, to the extent it is effective, in other comprehensive income until the hedged item affects net earnings. The Company uses cash flow hedges to mitigate the risk from variable cash flows associated with forecasted foreign currency denominated cash flows and forecasted purchases and sales of various commodities.

In a fair value hedge, the change in fair value of the hedging derivative is offset in the consolidated statements of earnings by the change in fair value of the hedged item relating to the hedged risk.

In a net investment hedge, the change in fair value of the hedging instrument is recorded, to the extent effective, directly in other comprehensive income. These amounts are recognized in income when the corresponding accumulated other comprehensive income (loss) from self-sustaining foreign operations are recognized in earnings.

Hedge ineffectiveness is measured and recorded in current period earnings in the consolidated statements of earnings. When either a fair value hedge or cash flow hedge is discontinued, any cumulative adjustment to either the hedged item or other comprehensive income is recognized in net earnings as the hedged item affects net earnings, or when the hedged item is derecognized. If a designated hedge is no longer effective, the associated derivative instrument is subsequently carried at fair value through net earnings without any offset from the hedged item.

Changes in the fair value of derivatives that do not qualify for hedge accounting are carried at fair value in the consolidated balance sheets, and subsequent changes in their fair value are recorded in the consolidated statements of earnings.

(e) Cash and cash equivalents

Cash and cash equivalents comprise cash balances, demand deposits and investments with an original maturity at the date of purchase of three months or less.

(f) Inventories

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis. The cost of inventory includes direct product costs, direct labour and an allocation of variable and fixed manufacturing overhead including depreciation.

(g) Impairment or disposal of long-lived assets

The Company reviews long-lived assets or asset groups held and used including property and equipment and intangible assets subject to amortization for recoverability whenever events or changes in circumstances indicate that their carrying amount may not be recoverable. Asset groups referred to as Cash Generating Units ("CGUs") include an allocation of Corporate assets and are reviewed at their lowest level for which identifiable cash inflows are largely independent of cash inflows of other assets or groups of assets. The recoverable amount is the greater of its value in use and its fair value less cost to sell.

Value in use is based on estimates of discounted future cash flows expected to be recovered from a CGU through their use. Management develops its cash flow projections based on past performance and its expectations of future market and business developments. Once calculated, the estimated future pre-tax cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

Fair value less cost to sell is the amount obtainable from the sale of an asset or CGU in an arm's length transaction between knowledgeable, willing parties, less the costs of disposal. Costs of disposal are incremental costs directly attributable to the disposal of an asset or CGU, excluding finance costs and income tax expense.

An impairment loss is recognized in the consolidated statements of earnings when the carrying amount of any asset or its CGU exceeds its estimated recoverable amount. Impairment losses recognized in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the CGU and then to reduce the carrying amount of the other assets in the CGU on a pro rata basis.

Impairment losses related to long-lived assets recognized in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation and amortization, if no previous impairment loss had been recognized.

Long-lived assets are classified as held for sale when certain criteria are met and the sale is expected to be completed within one year. The assets to be disposed of are separately presented in the consolidated balance sheets and reported at the lower of their carrying amount or fair value less costs to sell, and are no longer depreciated.

(h) Property and equipment

Property and equipment with the exception of land are recorded at cost less accumulated depreciation and any net accumulated impairment losses. Land is carried at cost and not depreciated. For qualifying assets, cost includes interest capitalized during the construction or development period. Construction-in-process assets are capitalized during construction and depreciation commences when the asset is available for use. Depreciation related to assets used in production is recorded in cost of goods sold and calculated on a straight-line basis, after taking into account residual values, over the following expected useful lives of the assets:

Buildings, including other components	15–40 years
Machinery and equipment	3–10 years

When parts of an item of property and equipment have different useful lives, those components are accounted for as separate items of property and equipment.

(i) Investment properties

Investment properties are properties owned by the Company that are held to either earn rental income, for capital appreciation, or both. The Company's investment properties include land and buildings.

Investment properties are recorded at cost less accumulated depreciation and any accumulated impairment losses, with the exception of land which is recorded at cost less any accumulated impairment losses. The depreciation policies for investment properties are consistent with those of property and equipment.

(j) Goodwill and other intangible assets

Goodwill

Goodwill is the residual amount that results when the purchase price of an acquired business exceeds the sum of the amounts allocated to identifiable assets acquired, less liabilities assumed, based on their fair values. The Company assigns value to certain acquired identifiable intangible assets, primarily brands, customer relationships and delivery routes. Goodwill is allocated as of the date of the business combination to the group of CGUs that are expected to benefit from the synergies of the business combination, but no lower than the level in the Company at which goodwill is monitored for internal management purposes.

Goodwill is not amortized and is tested for impairment annually in the fourth quarter and otherwise as required if events occur that indicate that its carrying amount may not be recoverable. Impairment of goodwill is tested at the CGU group level by comparing the carrying amount to its recoverable amount, consistent with the methodology applied in Note 3(g).

Other Intangible Assets
Other intangible assets include brands, trademarks, delivery routes and customer relationships. Definite life intangible assets are measured at cost less accumulated amortization and any net accumulated impairment losses. Amortization is recognized in the consolidated statements of earnings on a straight-line basis over their estimated useful lives as follows:

Brands	10 years
Customer relationships	20–25 years

Indefinite life intangibles including brands, trademarks and delivery routes are tested for impairment annually in the fourth quarter and otherwise as required if events occur that indicate that the carrying value may not be recoverable.

(k) Employee benefit plans
The Company provides post-employment benefits through defined benefit and defined contribution plans.

i) Defined benefit plans
The Company accrues obligations and costs in respect of employee defined benefit plans. The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected unit credit method prorated on service and management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees and expected health care costs. Changes in these assumptions could affect future pension expense. Fair value of plan assets is used for the purpose of calculating the expected return on plan assets. The discount rate used to value the defined benefit obligation is based on high quality corporate bonds in the same currency in which the benefits are expected to be paid and with terms to maturity that, on average, match the terms of the defined benefit obligations. Past service costs arising from plan amendments are amortized on a straight-line basis over the average period until the benefits become vested. To the extent that the benefits vest immediately, the expense is recognized in net earnings.

Actuarial gains and losses due to changes in defined benefit plan provisions are recognized immediately in accumulated other comprehensive income (loss). When a restructuring of a benefit plan gives rise to both a curtailment and settlement of obligations, the curtailment is accounted for prior to the settlement.

When the calculation results in a benefit (asset), the recognized asset is limited to the total of any unrecognized past service costs and the present value of economic benefits available in the form of future refunds from the plan or reductions in future contributions to the plan (the "asset ceiling"). In order to calculate the present value of economic benefits, consideration is given to minimum funding requirements that apply to the plan. Where it is anticipated that the Company will not be able to recover the value of the net defined benefit asset, after considering minimum funding requirements for future services, the net defined benefit asset is reduced to the amount of the asset ceiling. The effect of the asset ceiling is recognized in comprehensive income.

When the payment in the future of minimum funding requirements related to past service would result in a net defined benefit asset (surplus) or an increase in a surplus, the minimum funding requirements are recognized as a liability to the extent that the surplus would not be fully available as a refund or a reduction in future contributions. Re-measurement of this liability is recognized in other comprehensive income in the period in which the re-measurement occurs.

ii) Defined contribution plans
The Company's obligations for contributions to employee defined contribution pension plans are recognized in the consolidated statement of earnings in the periods during which services are rendered by employees.

(l) Provisions
Provisions are liabilities of the Company for which the amount or timing is uncertain. A provision is recognized in the consolidated financial statements when the Company has a present legal or constructive obligation as a result of a past event, and it is probable that an outflow of economic benefits will be required to settle the obligation. If the effect is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, when appropriate, the risks specific to the liability.

(m) Revenue recognition
The majority of the Company's revenue is derived from the sale of product to retail and foodservice customers. The Company recognizes revenue from product sales at the fair value of the consideration received or receivable, net of estimated returns and an estimate of sales incentives provided to customers. Revenue is recognized when the customer takes ownership of the product, title has transferred, all the risks and rewards of ownership have transferred to the customer, recovery of the consideration is probable, the Company has satisfied its performance obligations under the arrangement, and has no ongoing involvement with the sold product. The value of sales incentives provided to customers are estimated using historical trends and are recognized at the time of sale as a reduction of revenue. Sales incentives include rebate and promotional programs provided to the Company's customers. The rebates are primarily based on achievement of specified volume or growth in volume levels. In subsequent periods, the Company monitors the progress of customers related to sales incentive programs and makes any required adjustments to both revenue and sales incentive accruals.

Except for fresh bread, the Company generally does not accept returns of spoiled products from customers. For product that may not be returned, the Company in certain cases provides customers with allowances to cover any damage or spoilage, and such allowances are deducted from sales at the time of revenue recognition. In the case of fresh bread, customer returns are deducted from revenue.

(n) Borrowing costs

Borrowing costs primarily comprise interest on the Company's indebtedness. Borrowing costs are capitalized when they are attributable to the acquisition, construction or production of a qualifying asset. A qualifying asset is an asset that necessarily takes a substantial period of time to prepare for its intended use. Borrowing costs that are not attributable to a qualifying asset are expensed in the period in which they are incurred and reported within interest expense in the consolidated statements of earnings.

(o) Income taxes

Income tax expense comprises current and deferred tax. Income tax is recognized in the consolidated statement of earnings except to the extent that it relates to a business combination, or items recognized directly in equity or in other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

The Company uses the asset and liability method of accounting for income taxes. Accordingly, deferred tax assets and liabilities are recognized for the deferred tax consequences attributable to differences between the financial statement carrying amounts of assets and liabilities and their respective tax bases. Deferred tax assets and liabilities are measured using enacted or substantively enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. In addition, the effect on deferred tax assets and liabilities of a change in tax rates is recognized in earnings and comprehensive income in the period in which the enactment or substantive enactment takes place. Deferred tax assets are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

Deferred tax assets and liabilities are offset when they relate to income taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

Deferred tax provided on temporary differences arising on investments in subsidiaries, except where the timing of the reversal of the temporary difference is controlled by the Company and it is probable that the temporary difference will not reverse in the foreseeable future.

(p) Recent accounting pronouncements

The following standards issued by the IASB or IFRIC are effective for the period ended March 31, 2011 and have been applied in preparing these consolidated financial statements:

Related Party Disclosures

On November 4, 2009, the IASB issued a revised version of IAS 24, *Related Party Disclosures* ("IAS 24"). IAS 24 requires entities to disclose in their financial statements information about transactions with related parties. Generally, two parties are related to each other if one party controls, or significantly influences, the other party. IAS 24 has simplified the definition of a related party and removed certain of the disclosures required by the predecessor standard. The revised standard is effective for annual periods beginning on or after January 1, 2011.

Accounting Standards not yet Adopted

Certain new standards, interpretations and amendments to existing standards were issued by the IASB or IFRIC that are not yet effective for the period ended March 31, 2011, and have not been applied in preparing these consolidated financial statements.

Financial Instruments – Disclosures

On October 7, 2010, the IASB issued amendments to IFRS 7, *Financial Instruments: Disclosures*, which increase the disclosure requirements for transactions involving transfers of financial assets. This amendment is effective for annual periods beginning on or after July 1, 2011 and therefore the Company will apply the amendment in the first quarter of 2012. The Company is currently assessing the impact of the amendment on its financial statements.

4. Accounts Receivable

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to an entity owned by a financial institution. The Company retains servicing responsibilities and retains a limited recourse obligation for delinquent receivables. At March 31, 2011, trade accounts receivable being serviced under this program amounted to $96.3 million (March 31, 2010: $63.0 million; December 31, 2010: $105.2 million; January 1, 2010: $70.0 million). In return for the sale of its trade receivables, the Company received cash of $43.5 million (March 31, 2010: $63.0 million; December 31, 2010: $46.0 million; January 1, 2010: $70.0 million) and notes receivable in the amount of $52.8 million (March 31, 2010: $nil; December 31, 2010: $59.2 million; January 1, 2010: $nil). The notes receivable are non-interest bearing and are due on the monthly accounts receivable settlement dates.

For the period ended September 30, 2010, the Company recognized the assets serviced under this program in the consolidated balance sheets as a secured financing transaction, with a corresponding liability recorded in accounts payables and accruals. During the fourth quarter of 2010, the Company finalized a new trade accounts receivable securitization agreement that requires the sale of trade accounts receivable

to be treated as a sale from an accounting perspective and as a result, trade accounts receivable balances sold under this program are derecognized in the consolidated balance sheets as at December 31, 2010 and March 31, 2011.

5. Goodwill

	2011	2010
Cost		
Balance January 1	**$ 375,894**	$ 386,807
Acquired through business combination	**—**	—
Adjustment to previous acquisitions	**—**	—
Foreign currency translation	**(2,790)**	(11,700)
Balance March 31	**$ 373,104**	$ 375,107
Impairment losses		
Balance January 1	**$ (111,618)**	$ (119,078)
Impairment loss recognized	**—**	—
Foreign currency translations	**104**	8,168
Balance March 31	**$ (111,514)**	$ (110,910)
Carrying amounts		
January 1	**$ 264,276**	$ 267,729
March 31	**$ 261,590**	$ 264,197

For the purposes of annual impairment testing, goodwill is allocated to the following groups of CGUs, being the groups expected to benefit from the synergies of the business combinations in which the goodwill arose.

	March 31, 2011	March 31, 2010	December 31, 2010	January 1, 2010
CGU Group				
Canadian fresh bakery	**$ 123,867**	$ 122,802	$ 123,867	$ 122,802
North American frozen bakery	**135,698**	139,370	138,384	142,902
Fresh pasta	**2,025**	2,025	2,025	2,025
	$ 261,590	$ 264,197	$ 264,276	$ 267,729

The key assumptions used in the calculation of the recoverable amount are as follows for the significant CGU groups:

	Discount Rate	Growth Rate
Canadian fresh bakery	10.7%	2.6%
North American frozen bakery	11.5%	2.8%
Fresh pasta	10.4%	2.6%

6. Employee Benefits

During the quarter, the Company recorded $3.4 million related to net benefit plan expense including post-retirement benefit costs (2010: $3.3 million).

7. Financial Instruments and Risk Management Activities

The Company is exposed to credit risk, liquidity risk and market risks that include interest rate risk, foreign exchange risk and commodity price risk. The Company has policies for managing these risks that are aligned with its overall objective to maintain a simple and cost-effective capital structure that supports a long-term growth strategy and maximizes operating flexibility. There have been no material changes to the Company's risk and risk management activities since December 31, 2010.

The Company applies hedge accounting and uses derivatives and other non-derivative financial instruments to manage its exposures to fluctuations in foreign exchange rates and commodity prices.

The fair values and notional amounts of derivative financial instruments at March 31 are shown below:

	2011			2010		
	Notional Amount [i]	Fair Value Asset	Fair Value Liability	Notional Amount [i]	Fair Value Asset	Fair Value Liability
Cash flow hedges						
Foreign exchange forward contracts	**$ 64,144**	**$ —**	**$ 1,501**	$ 23,639	$ —	$ 427
Derivatives not designated in a formal hedging relationship						
Foreign exchange forward contracts [ii]	**$ 51,221**	**$ —**	**$ 1,188**	$ 521	$ —	$ 25
Commodity futures contracts	24,103	—	76	—	—	—
Total		**$ —**	**$ 2,765**		$ —	$ 452
Current		**$ —**	**$2,321**		$ —	$ 452
Non-current		**—**	**444**		—	—
Total		**$ —**	**$ 2,765**		$ —	$ 452

(i) *Notional amounts are stated at the contractual Canadian dollar equivalent.*
(ii) *2011 related party exchange foreign contracts with Maple Leaf Foods Inc. included a notional amount of $35.5 million with a non-current fair value liability of $0.4 million.*

The carrying value of long-term debt as at March 31, 2011 was $4.0 million (March 31, 2010: $2.3 million; December 31, 2010: $4.0 million; January 1, 2010: $2.5 million), which approximates fair value.

During the quarter, the Company recorded a loss of $0.2 million net of taxes (2010: gain of $0.1 million) on financial instruments held for trading. Net gains (losses) on financial instruments held for trading consist of realized and unrealized gains (losses) on derivatives that were de-designated or were otherwise not in a formal hedging relationship.

For the quarters ended March 31, 2011 and 2010, the amount of hedge ineffectiveness recognized in net earnings was not material.

Fair Value Hierarchy

Assets and liabilities carried at fair value must be classified using a three-level hierarchy that reflects the significance and transparency of the inputs used in making the fair value measurements.

The table below sets out fair value measurements of financial instruments using the fair value hierarchy.

	Level 1	Level 2	Level 3	Total
Liabilities:				
Commodity futures contracts	$ 76	$ —	$ —	$ 76
Foreign exchange forward contracts	—	2,689	—	2,689
Total	**$ 76**	**$ 2,689**	**$ —**	**$ 2,765**

There were no transfers between levels during the quarter ended March 31, 2011.

Financial instruments

The Company's financial assets and liabilities are classified into the following categories:

Cash and cash equivalents	Held for trading
Accounts receivable	Loans and receivables
Note receivable	Loans and receivables
Bank indebtedness	Other financial liabilities
Accounts payable and accruals	Other financial liabilities
Due to Maple Leaf Foods Inc.	Other financial liabilities
Long-term debt	Other financial liabilities
Derivative instruments	Held for trading

The fair value of financial assets and liabilities classified as loans and receivables and other financial liabilities (excluding long-term debt) approximate their carrying value due to their short-term nature.

8. Restructuring and Other Related Costs

During the first quarter of 2011, the Company recorded restructuring and other related costs of $20.1 million ($15.1 million after tax). Of this amount, $11.2 million related to asset write-downs and $2.9 million related to severances, in connection with the sale of, or planned or completed plant closures in Laval, Quebec, Delta, British Columbia, Cumbria U.K. as well as the sale of the sandwich product line. The Company also recorded $5.8 million in severance costs for initiatives across the Company related to changes in management structure and related head count reductions. The balance of charges relate to ongoing costs incurred in connection with previously announced restructuring initiatives.

During the first quarter of 2010, the Company recorded restructuring and other related costs of $1.7 million ($1.3 million after tax). These costs related primarily to pension costs and accelerated depreciation associated with the announced consolidation and closure of three Greater Toronto Area bakeries in the Company's fresh bakery business. The balance of the changes related primarily to severances in the U.K. resulting from restructuring in the Company's speciality baked goods production process.

The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs as at March 31, 2011, all on a pre-tax basis:

	Severance	Site Closing	Asset Impairment and Accelerated Depreciation	Pension	Total
Balance at January 1, 2011	$ 11,228	$ 1,456	$ —	$ 384	**$ 13,068**
Charges	8,701	49	11,138	162	**20,050**
Cash payments	(1,652)	(12)	—	—	**(1,664)**
Reversals	—	—	—	—	**—**
Non-cash items	—	—	(11,138)	—	**(11,138)**
Balance at March 31, 2011	**$ 18,277**	**$ 1,493**	**$ —**	**$ 546**	**$ 20,316**

9. Accumulated Other Comprehensive Loss

	Foreign Currency Translation Adjustments	Unrealized Gain (loss) on Cash Flow Hedges	Change in Actuarial Gains and Losses	Total Accumulated Other Comprehensive Loss
Balance at January 1, 2010	$ —	$ (5,634)	$ —	**$ (5,634)**
Other comprehensive loss	(12,689)	(151)	—	**(12,840)**
Balance at March 31, 2010	**$ (12,689)**	**(5,785)**	**—**	**(18,474)**
Balance at January 1, 2011	$ (14,050)	(46)	$ (8,815)	**$ (22,911)**
Other comprehensive loss	(5,490)	(1,105)	—	**(6,595)**
Balance at March 31, 2011	**$ (19,540)**	**$ (1,151)**	**$ (8,815)**	**$ (29,506)**

The change in accumulated foreign currency translation adjustments is net of tax of $nil for the three months ended March 31, 2011 (March 31, 2010: net of tax of $nil).

The change in unrealized loss on cash flow hedges is net of tax of $0.4 million for the three months ended March 31, 2011 (March 31, 2010: net of tax of $0.1 million).

The Company estimates that $1.1 million of the unrealized loss included in accumulated other comprehensive loss will be reclassified into net earnings within the next twelve months.

The actual amount of this reclassification will be impacted by future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the three months ended March 31, 2011, $nil was released to income from accumulated other comprehensive loss.

10. Other Income

	Three months ended March 31,	
	2011	2010
(Loss) gain on sale of property and equipment	**$ (5)**	$ 52
Other	**83**	20
	$ 78	$ 72

11. Interest Expense

The components of interest expense include the following:

	Three months ended March 31,	
	2011	2010
Interest expense on securitized receivables	**$ 287**	$ 320
Deferred finance charge	**55**	—
Interest expense on long-term debt	**114**	46
Amortization of terminated interest rate swaps	**—**	659
Other interest income	**(3)**	(41)
Interest capitalized	**(114)**	(3)
	$ 339	$ 981

12. Segmented Financial Information

Reportable segmented information

The Company's operations are classified into the following two primary business segments, which have been used for the operating segment disclosures for all periods presented:

(a) Fresh Bakery comprises fresh bakery products; sweet goods; specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and speciality bakery products.

	Three months ended March 31,	
	2011	2010
Sales		
Fresh Bakery	**$ 255,085**	$ 257,189
Frozen Bakery	**116,675**	124,743
	$ 371,760	$ 381,932
Earnings from operations before restructuring and other related costs and other income		
Fresh Bakery	**$ 17,985**	$ 20,929
Frozen Bakery	**(1,261)**	(281)
	$ 16,724	$ 20,648
Capital expenditures		
Fresh Bakery	**$ 26,157**	$ 4,084
Frozen Bakery	**3,400**	3,472
	$ 29,557	$ 7,556
Depreciation and amortization		
Fresh Bakery	**$ 6,635**	$ 6,810
Frozen Bakery	**5,572**	5,902
	$ 12,207	$ 12,712

	March 31, 2011	March 31, 2010	December 31, 2010	January 1, 2010
Total assets				
Fresh Bakery	**$ 466,142**	$ 455,080	$ 437,976	$ 460,125
Frozen Bakery	**353,636**	379,599	372,211	408,229
Non-allocated assets	**80,177**	77,896	102,758	61,728
	$ 899,955	$ 912,575	$ 912,945	$ 930,082
Goodwill				
Fresh Bakery	**$ 125,892**	$ 124,827	$ 125,892	$ 124,827
Frozen Bakery	**135,698**	139,370	138,384	142,902
	$ 261,590	$ 264,197	$ 264,276	$ 267,729

Information about geographic areas

Property, equipment and investment property located outside of Canada were $114.0 million (March 31, 2010: $123.5 million; December 31, 2010: $122.3 million; January 1, 2010: $133.8 million). Of this amount $67.5 million (March 31, 2010: $72.1 million; December 31, 2010: $71.1 million; January 1, 2010: $76.8 million) was located in the United States and $46.5 million (March 31, 2010: $51.4 million; December 31, 2010: $51.2 million; January 1, 2010: $57.0 million) was located in the United Kingdom.

Goodwill attributed to operations located outside of Canada was $82.2 million (March 31, 2010: $85.9 million; December 31, 2010: $84.9 million; January 1, 2010: $89.4 million), which is all attributed to operations in the United States.

Information about major customers

During the current year, the Company reported sales to two customers each representing greater than 10%. Sales to one customer represented 17.6% (March 31, 2010: 17.6%; December 31, 2010: 18.0%; January 1, 2010: 17.1%) of total sales, while sales to the second customer represented 12.2% (March 31, 2010: 12.5%; December 31, 2010: 12.2%; January 1, 2010: 11.7%) of total sales. Sales to each customer are reported in both the Fresh Bakery and Frozen Bakery businesses.

13. Transition to International Financial Reporting Standards ("IFRS")

The Company's audited consolidated financial statements for the year ending December 31, 2011 will be the first audited annual consolidated financial statements that comply with IFRS. Accordingly, the Company will make an unreserved statement of compliance with IFRS beginning with its 2011 annual consolidated financial statements.

The accounting policies set out in Note 3 have been applied in preparing the consolidated financial statements for the quarter ended March 31, 2011, the comparative information presented in these consolidated financial statements for the quarter ended March 31, 2010, year ended December 31, 2010 and in the preparation of the opening IFRS consolidated balance sheets at January 1, 2010.

First-time adopters of IFRS must apply the provisions of IFRS 1. IFRS 1 requires adopters to retrospectively apply all effective IFRS standards as of the reporting date (December 31, 2011) with certain optional exemptions and certain mandatory exceptions. The IFRS 1 optional exemptions and mandatory exceptions applied in the conversion from previous Canadian GAAP to IFRS are outlined below.

An explanation of how the transition from Canadian GAAP to IFRS has affected the Company's financial position and financial performance, and cash flows, is set out in the following reconciliations and the explanatory notes that accompany the reconciliations. Reconciliations of the consolidated statements of earnings, comprehensive income and shareholders' equity for the respective periods are below. Changes to the cash flows were not material as a result of the conversion to IFRS.

IFRS 1 Optional Exemptions

1. *Business combinations* – IFRS 1 provides an exemption that allows an entity to elect not to retrospectively restate business combinations prior to January 1, 2010 ("transition date") in accordance with IFRS 3, *Business Combinations.* The retrospective basis would require restatement of all business combinations that occurred prior to the transition date. The Company elected not to retrospectively apply IFRS 3 to business combinations that occurred prior to the transition date and such business combinations have not been restated. Any goodwill arising on such business combinations prior to the transition date has not been adjusted from the carrying value previously determined under Canadian GAAP.

2. *Fair value as deemed cost* – IFRS 1 allows an entity to elect to measure property and equipment at fair value in the opening IFRS balance sheet. Fair value would then become the deemed cost of the item. Alternatively, an entity can retrospectively apply the historical cost model in IAS 16, *Property, Plant and Equipment*, to arrive at the carrying value of property and equipment at the transition date. The Company elected to retrospectively apply the historical cost model for property and equipment on the transition date.

3. *Employee benefits* – IFRS 1 provides the option to retrospectively apply the corridor approach under IAS 19, *Employee Benefits*, for the recognition of actuarial gains and losses, or recognize all cumulative gains and losses deferred under previous Canadian GAAP in opening retained earnings at the transition date. The Company elected to recognize all cumulative actuarial gains and losses that existed on the transition date in opening retained earnings for all of its employee benefit plans.

4. *Cumulative currency translation differences* – Retrospective application of IFRS would require the Company to determine cumulative currency translation differences in accordance with IAS 21, *The Effects of Changes in Foreign Exchange Rates*, from the date a foreign subsidiary or associate was formed or acquired. IFRS 1 allows an entity to elect not to calculate the translation differences retrospectively and to reset cumulative translation gains and losses to zero at the transition date. The Company elected to reset all cumulative translation gains and losses that existed in the cumulative transition adjustment ("CTA") balance to zero in opening retained earnings at the transition date. The CTA balance as of January 1, 2010 of $48.8 million was recorded as an adjustment to retained earnings, with an offset to accumulated other comprehensive income resulting in no impact on total shareholders' equity.

5. *Decommissioning liabilities included in the cost of property, plant and equipment* – IFRS 1 allows an entity to elect not to retrospectively apply the requirements of IFRIC 1, *Changes in Existing Decommissioning, Restoration and Similar Liabilities* ("IFRIC 1"). The Company elected not to retrospectively recognize changes to these liabilities under IFRIC 1 that may have occurred prior to the transition date.

6. *Borrowing costs* – IAS 23, *Borrowing Costs* ("IAS 23"), requires an entity to capitalize borrowing costs relating to qualifying assets. Under IFRS 1, an entity may elect to apply the transitional provisions of IAS 23, which allow an entity to choose the date to apply the capitalization of borrowing costs relating to all qualifying assets as either the transition date or an earlier date. The Company elected to apply the transitional provisions of IAS 23 and chose the transition date as the date to commence the capitalization of borrowing costs to all qualifying assets.

IFRS 1 Mandatory Exceptions

1. *Hedge accounting* – Hedge accounting may only be applied prospectively from the transition date to transactions that meet the hedge accounting criteria in IAS 39, *Financial Instruments – Recognition and Measurement*, at that date. Hedging relationships cannot be designated retrospectively and the supporting documentation cannot be created retrospectively. The Company designated all hedges appropriately under IFRS as of the transition date.

2. *Estimates* – Estimates previously determined under Canadian GAAP cannot be revised due to the application of IFRS except where necessary to reflect differences in accounting policies.

Reconciliations of Canadian GAAP to IFRS

In preparing its opening IFRS consolidated financial statements, the Company has adjusted amounts reported previously in financial statements prepared in accordance with Canadian GAAP. An explanation of how the transition from Canadian GAAP to IFRS has affected the Company's financial position and financial performance is set out below.

(i) Reconciliation of Shareholders' Equity as Reported Under Canadian GAAP to IFRS

The following is a reconciliation of the Company's shareholders' equity reported in accordance with Canadian GAAP to its shareholders' equity in accordance with IFRS:

	Note	January 1, 2010	March 31, 2010	December 31, 2010
Shareholders' equity under Canadian GAAP		$ 747,087	$ 737,281	$ 785,846
Differences increasing (decreasing) reported shareholders' equity:				
Property and equipment	1	(5,454)	(5,475)	(5,577)
Impairment of goodwill	2	(119,078)	(110,910)	(111,618)
Employee benefits	3	(32,403)	(32,058)	(39,836)
Capitalization of borrowing costs	4	—	3	417
Deferred income taxes	5	9,522	9,437	9,137
Cumulative translation differences	6	—	—	—
Shareholders' equity under IFRS		**$ 599,674**	**$ 598,278**	**$ 638,369**

1. Property and Equipment

IFRS provides more specific guidance than Canadian GAAP on the capitalization and componentization of property and equipment. Specifically, IFRS requires that each part of an identifiable item of property and equipment with a cost that is significant in relation to the total cost of the item shall be capitalized and depreciated separately. As a result of this difference, the Company determined that certain assets must be separately capitalized components under IFRS. The retrospective application of this standard resulted in a decrease in shareholders' equity, being the cumulative incremental depreciation that would have been expensed in prior periods had these assets been separately identified and depreciated.

2. Impairment of Goodwill

Under IFRS, the Company measures a CGU's recoverable amount based on the higher of fair value less costs to sell and value in use, calculated using estimated future cash flows discounted to their present value using a pre-tax discount rate that reflects current market

assessments of the time value of money and the risks specific to the asset. Under Canadian GAAP impairment was evaluated using a two-step process whereby the recoverable amount was compared to the carrying value. If the recoverable amount was less than its carrying value, then the impairment loss was measured and recognized based on the fair value of the asset or asset group.

Goodwill was tested for impairment for each applicable CGU group as at January 1, 2010 and October 1, 2010 (the annual impairment testing date) by comparing the CGU group's carrying amount to its recoverable amount, consistent with the methodology applied in Note 3(h). The application of IFRS resulted in an impairment loss at transition of $119.1 million using future estimated cash flows over a period of five years, present valued based on a range of discount rates from 10.4% to 12.4%, with an ending terminal value determined using growth rates ranging from 2.6% to 2.8%. Future cash flows were based upon management forecasts, and reflected management's best estimate at the time.

The impairment loss at transition was attributed to the U.K. Bakery ($88.9 million) and Sandwich products ($30.2 million).

3. Employee Benefits
The election to recognize all unrecognized cumulative actuarial gains and losses into opening retained earnings resulted in a decrease in total shareholders' equity at transition. In addition, unrecognized past service costs that were vested and the transition amount under Canadian GAAP were recognized in opening retained earnings, at the transition date. On an ongoing basis, the Company elected to recognize all actuarial gains and losses immediately in the consolidated statements of comprehensive income.

IFRS provides more specific guidance on the recognition of employee benefit assets and liabilities. Specifically, the recognition of the value of an over-funded employee benefit plan is limited to the amount of the surplus that is considered recoverable. In addition, a liability is recognized under IFRS for minimum funding obligations that the Company may have under an employee benefit plan. The application of this difference results in a decrease in shareholders' equity.

4. Capitalization of Borrowing Costs
This increase in shareholders' equity is the result of the Company's election to capitalize borrowing costs in respect of qualifying assets as of the transition date.

5. Deferred Income Taxes
The increase in shareholders' equity related to deferred taxes reflects the change in temporary differences resulting from the effect of the other transitional adjustments.

6. Cumulative Translation Differences
The Company elected to reset CTA to zero as of January 1, 2010 in accordance with IFRS 1. The CTA balance as of January 1, 2010 of $48.8 million was recorded as an adjustment to retained earnings. The application of the exemption had no impact on total shareholders' equity.

(ii) Reconciliation of Net Earnings as Reported Under Canadian GAAP to IFRS

	Note	Three months ended March 31, 2010	Year ended December 31, 2010
Net earnings under Canadian GAAP		$ 12,727	$ 60,975
Differences increasing (decreasing) net earnings:			
Depreciation of asset components	**1**	(21)	(317)
Capitalization of borrowing costs	**2**	3	417
Employee benefits	**3**	345	1,382
Income taxes	**4**	(85)	(385)
Net earnings under IFRS		**$ 12,969**	**$ 62,072**

1. Depreciation of Asset Components
The adoption of IFRS resulted in separately capitalizing components of certain assets where the components were significant and had different useful lives than the previously recorded asset. The depreciation of these separate components resulted in a change in depreciation expense under IFRS compared to Canadian GAAP.

2. Capitalization of Borrowing Costs
Interest expense is reduced due to the capitalization of borrowing costs to qualifying assets.

3. Employee Benefits
Under IFRS, the Company elected to recognize all actuarial gains and losses related to the employee defined benefit plans in the consolidated statements of comprehensive income. This election has resulted in a reduction of net earnings as actuarial gains and losses were previously recognized in net earnings under Canadian GAAP using the corridor method and amortization of vested past service costs and transitional amounts were also previously recognized in net earnings under Canadian GAAP.

4. Income Taxes
Deferred income taxes are impacted by the changes in temporary differences resulting from the effect of the IFRS reconciling items described above.

(iii) Reconciliation of Comprehensive Income (Loss) as Reported Under Canadian GAAP to IFRS

	Note	Three months ended March 31, 2010	Year ended December 31, 2010
Comprehensive income (loss) under Canadian GAAP		$ (8,281)	$ 44,859
Differences increasing (decreasing) reported amount:			
Differences in net earnings	**1**	242	1,097
Recognition of actuarial gains and losses	**2**	—	(8,815)
Impairment of goodwill	**3**	8,168	7,654
Comprehensive income (loss) under IFRS		**$ 129**	**$ 44,795**

1. Differences in Net Earnings
Reflects the differences in net earnings between Canadian GAAP and IFRS as described in the *Reconciliation of Net Earnings as Reported Under Canadian GAAP to IFRS.*

2. Employee Benefits
Under IFRS, the company elected to recognize all actuarial gains and losses related to the employee benefit plans in the consolidated statements of comprehensive income. This election has resulted in a reduction of comprehensive income as these amounts were previously recognized in net earnings under Canadian GAAP.

3. Impairment of Goodwill
Reflects the foreign currency translation of the foreign denominated component of the $119.1 million impairment loss recognized at transition.

14. Additional Annual Disclosures Under IFRS

As a result of the transition to IFRS discussed in Note 13, certain note disclosures are required to be included in annual financial statements prepared in accordance with IFRS that were not included in the Company's annual audited year ended December 31, 2010 consolidated financial statements prepared in accordance with Canadian GAAP. These incremental disclosures are included below. Certain information and footnote disclosure normally included in annual financial statements prepared in accordance with IFRS has been omitted or condensed where such information is not considered material to the understanding of the Company's consolidated financial statements. These incremental annual IFRS disclosures are unaudited.

Accounts Receivable

	March 31, 2011	March 31, 2010	December 31, 2010	January 1, 2010
Trade receivables	**$ 36,590**	$ 112,001	$ 16,397	$ 129,117
Less: Allowance for doubtful accounts	**(2,365)**	(1,810)	(2,120)	(2,125)
Net trade receivables	**34,225**	110,191	14,277	126,992
Other receivables	**20,475**	9,208	15,496	6,628
	$ 54,700	$ 119,399	$ 29,773	$ 133,620

The aging of trade receivables is as follows:

	March 31, 2011	March 31, 2010	December 31, 2010	January 1, 2010
Current	**$ 18,716**	$ 103,962	$ 2,286	$ 112,105
Past due 0–30 days	**10,489**	4,925	8,834	12,204
Past due 31–60 days	**3,310**	514	1,992	2,134
Past due 61–90 days	**978**	654	1,044	985
Past due > 90 days	**3,097**	1,946	2,241	1,689
	$ 36,590	$ 112,001	$ 16,397	$ 129,117

The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individually significant exposures and a provision based on historical trends of collections.

Property and Equipment

The continuity of property and equipment for the quarter ended March 31, 2011 is as follows:

	Land	Buildings	Machinery and Equipment	Construction in Progress	Total
Cost					
Balance at December 31, 2010	$ 25,899	$ 176,910	$ 533,589	$ 61,422	**$ 797,820**
Additions	—	291	5,279	23,968	**29,538**
Transfers	—	197	—	(197)	**—**
Disposals/impairment	(40)	393	(21,707)	(1,634)	**(22,988)**
Other	—	—	(30)	—	**(30)**
Interest capitalized	8	37	69	—	**114**
Foreign currency translation	(62)	(1,106)	(3,797)	(580)	**(5,545)**
Balance at March 31, 2011	**$ 25,805**	**$ 176,722**	**$ 513,403**	**$ 82,979**	**$ 798,909**
Accumulated depreciation					
Balance at December 31, 2010	$ —	$ 61,989	$ 344,485	$ —	**$ 406,474**
Depreciation	—	1,557	10,359	—	**11,916**
Transfers	—	—	—	—	**—**
Disposals/impairment	—	1,924	(10,470)	—	**(8,546)**
Other		—	(15)		**(15)**
Foreign currency translation	—	(295)	(2,882)	—	**(3,177)**
Balance at March 31, 2011	**$ —**	**$ 65,175**	**$ 341,477**	**$ —**	**$ 406,652**
Carrying amounts					
As at December 31, 2010	$ 25,899	$ 114,921	$ 189,104	$ 61,422	**$ 391,346**
Less: Investment property					**(3,743)**
					$ 387,603
As at March 31, 2011	$ 25,805	$ 111,547	$ 171,926	$ 82,979	**$ 392,257**
Less: Investment property					**(8,443)**
					$ 383,814

The capitalization rate used to determine the amount of eligible interest to be capitalized is 5.3%.

The continuity of property and equipment for the quarter ended March 31, 2010 is as follows:

	Land	Buildings	Machinery and Equipment	Construction in Progress	Total
Cost					
Balance at January 1, 2010	$ 25,840	$ 181,704	$ 529,963	$ 28,899	$ 766,406
Additions	—	1,010	5,504	1,042	7,556
Transfers	—	11	(11)	(11)	(11)
Disposals	(1)	(171)	(1,557)	(711)	(2,440)
Other	—	—	529	—	529
Interest capitalized	—	—	3	—	3
Foreign currency translation	(161)	(3,215)	(11,052)	(583)	(15,010)
Balance at March 31, 2010	**$ 25,678**	**$ 179,340**	**$ 523,380**	**$ 28,636**	**$ 757,034**
Accumulated depreciation					
Balance at January 1, 2010	$ —	$ 58,731	$ 320,692	$ —	$ 379,423
Depreciation	—	1,592	10,752	—	12,343
Transfers	—	—	—	—	—
Restructuring/impairment	—	—	—	—	—
Disposals	—	(114)	(1,086)	—	(1,200)
Other	—	—	67	—	67
Foreign currency translation	—	(743)	(6,047)	—	(6,790)
Balance at March 31, 2010	**$ —**	**$ 59,466**	**$ 324,378**	**$ —**	**$ 383,844**
Carrying amounts					
As at January 1, 2010	$ 25,840	$ 122,973	$ 209,271	$ 28,899	$ 386,983
Less: Investment property					(3,959)
					$383,024
As at March 31, 2010	$ 25,678	$ 119,873	$ 199,002	$ 28,636	$ 373,190
Less: Investment property					(3,788)
					$369,402

The capitalization rate used to determine the amount of eligible interest to be capitalized is 2.2%.

Investment Property

Investment properties are properties made excess by restructuring and other related activities, and the Company's overall goal is to maximize proceeds through eventual disposal of the assets.

The fair value of the Company's investment properties was $11.2 million as at March 31, 2011 and for the comparative periods presented. An external, independent valuation company, provided appraisals for certain of the Company's investment properties. For the other investment properties, the Company determined the fair value based on comparable market information. Where available, the fair values are based on market values, being the estimated amount for which a property could be exchanged on the date of the valuation between a willing buyer and a willing seller in an arm's length transaction.

The continuity of Investment Property for the year ended December 31, 2010 is as follows:

Cost		2010
Balance at January 1, 2010	$	3,959
Additions		41
Transfers		—
Disposals		—
Other		—
Interest capitalized		—
Foreign currency translation		(257)
Balance at December 31, 2010	$	3,743
Accumulated depreciation		
Balance at January 1, 2010	$	—
Depreciation		—
Transfers		—
Restructuring/impairment		—
Disposals		—
Other		—
Foreign currency translation		—
Balance at December 31, 2010	$	—
Carrying amounts		
As at January 1	$	3,959
As at December 31	$	3,743



CANADA BREAD COMPANY, LIMITED

10 FOUR SEASONS PLACE
ETOBICOKE, ONTARIO M9B 6H7
www.canadabread.ca